

The complaint

Ms J complains that Ocaso SA, Compania de Seguros y Reaseguros removed the flood cover from her home insurance policy and, when her property flooded a few months later, declined her claim for damage to her property.

What happened

Ms J took out her home insurance policy with Ocaso through a broker in August 2018 having located it on a price comparison website. The policy renewed the following year in 2019. During the online application Ms J was asked to confirm if the house had ever been flooded – she answered no - and whether it was located in an area free from flooding or at risk of flood, to which she answered yes.

Her answers to the application questions were sent to her online portal on a statement of fact document – both at inception in 2018 and the following year at renewal.

In November 2019, Ms J contacted the broker's 'live chat' to check if she was covered for flood and it was confirmed she was. During the chat Ms J mentioned that the area had flooded in 1998 when a nearby river burst its banks. The broker explained that as this information hadn't been disclosed during the online application it would need to refer it to Ocaso (the insurer) to confirm how it wanted to proceed.

Ocaso told the broker in December 2019 that the policy would remain in force but cover for flood would be excluded both going forward and retrospectively from inception as it would never have offered to cover Ms J for it if it'd known about the previous flood. Ocaso asked the broker to update the policy. And Ms J confirmed to the broker that she wanted the policy to remain in force without flood cover. The broker issued an updated policy schedule to the portal which showed there was now an endorsement on the policy which excluded flood cover.

Following a named storm in February 2020 Ms J's house flooded. Ms J called Ocaso to make a claim for the damage sustained and was told flood damage was excluded under her policy. Ms J complained to Ocaso.

Ms J said this was the first time the property had flooded in 22 years and that she understood insurers were meant to review designated flood areas every 5 years. So, she said she couldn't understand why this wasn't done nor why she had a flood exclusion on her policy. She said her neighbour had a policy with Ocaso, and had been able to claim successfully, and that the nearest river was 2 miles away. Ms J also said that when she'd taken the policy out she'd no idea that the policy had flooded 22 years ago.

Ocaso looked into Ms J's complaint but didn't think it'd done anything wrong. It referred to the government's Flood Re scheme which it said worked by giving insurers the option to transfer the flood risk element of the policy to it at an extra cost subject to strict underwriting criteria being met and, typically, an increased premium. Ocaso said that for it to be able to assess the acceptability of a property under the Flood Re scheme it only quoted if the broker or customer approached it directly so that it could quote using its own systems – not through

a price comparison site as Ms J had done. Ocaso suggested Ms J contact her broker to discuss her options as it may be able to find a policy with another insurer which included flood cover.

Unhappy with the outcome of her complaint to Ocaso, Ms J complained to this service. Ms J said to this service that the broker must've told Ocaso about her circumstances without telling her and giving her the opportunity to arrange different cover. Ms J said this was unfair as was the fact her neighbour was covered by Ocaso. She said she'd had to pay for all the repairs herself.

Our investigator looked into Ms J's complaint but didn't recommend that it was upheld. He thought the endorsement excluding flood cover had been added correctly to the policy by Ocaso and that the subsequent claim had been fairly declined.

Ms J disagreed with our investigator's findings and asked for her complaint to be referred for an ombudsman's decision

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I fully appreciate that this must've been a very stressful and anxious time for Ms J. Not only was her house flooded and damaged, but she has had to find the money to fund the extensive repairs herself. But despite my natural sympathy for the situation in which she has found herself, I'm unable to fairly uphold her complaint. I understand that this will come as a disappointment to Ms J.

I don't doubt what Ms J has said throughout the course of her complaint: that when she took the policy out in August 2018 she had no idea her property was located in an area that was at risk of flood or that it'd flooded previously. So, I accept that she answered the questions she was asked, about whether her property was at risk of flooding, during the application stage to the best of her knowledge at the time. I also accept that it wasn't until a named storm in November 2019 that flooded her neighbour's home that Ms J became aware for the first time that her property was also at risk. And she did the right thing by contacting her broker and notifying it that she'd recently found out that her property had flooded in 1998 (before she lived there). The broker had a duty to pass the information on to Ocaso.

But ultimately the answers Ms J gave to the flood risk questions she was asked were inaccurate, even if it was to the best of her knowledge at the time.

The information about the flooding in 1998 was both material and a fundamental change to the risk that Ocaso had agreed to take on in August 2018 and at renewal in 2019. If information that the property had flooded 22 years ago had been passed on to Ocaso when the policy was taken out then it has said it would have excluded cover for flood damage.

Ocaso has provided us with underwriting material that shows this to be true. I can see that once it knew that the property had flooded, it amended Ms J's policy by adding an endorsement to exclude cover for flood damage backdated to the start of the policy. I can see too that Ms J's property is considered by the government's own website to be at high risk of flooding.

Taking all of this into account, I'm satisfied that Ocaso has shown it wouldn't have offered flood cover if it'd known about the flood 22 years ago. Once it found out about it, I don't think

it was unreasonable, taking the fundamental nature of the change of risk into account, for Ocaso to apply the flood exclusion endorsement to Ms J's policy.

I note that Ocaso is an insurer that will cover flood risk areas by utilising the Flood Re scheme. But it has explained that it only does so if a consumer, or their broker, approaches it directly at the point of sale so that it could quote using its own systems. Unfortunately for Ms J, as she applied for her policy through a price comparison site it didn't apply to her situation. And I appreciate too that Ms J says her neighbour was covered by Ocaso for flood damage to her property but I'm unable to comment on the neighbour's situation as I don't know how he or she purchased her policy and, in any event, I can only consider here what's happened to Ms J.

It follows that as I think Ocaso didn't unfairly amend the policy mid-term to exclude cover for flood damage, I don't think it unreasonably declined the claim Ms J made for the same in February 2020. Put simply, Ms J's policy only provides cover for damage caused by certain insured events – and flood wasn't one of them.

I can see that Ocaso updated the policy schedule after it was notified about the 1998 flood and gave the broker clear instructions to notify Ms J of the change in her cover. I understand Ms J has made a separate complaint about the actions of her broker but I can't consider that here. I can only look at the complaint Ms J has made about Ocaso, and I think that it acted fairly when it amended the policy and directed the broker to advise her about the change to her cover.

My final decision

My final decision is that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Ms J to accept or reject my decision before 11 June 2021.

Claire Woollerson
Ombudsman